he'll point west toward Iowa or Nebraska, get a bewildered look on his face, and shrug. "What's happened," says Mr. Epstein, "is that trading became an end in itself."

Here from an office in the Merc building, you'd think that the only thing growing in the whole Midwest was the futures business. Mr. Epstein showed me a diagram of the trading floor somewhere below us, where 900 people bought and sold contracts on baskets of stocks in the S&P pits, or bonds in the Treasury-bond pit, and behind that the deutsche marks, with cattle next to yen, francs next to lumber, and so on. In 1960, he said, four million futures contracts were traded in the U.S., mostly in agriculture. In 1986, 160 million futures contracts were traded, 40 times the old volume and representing $10 trillion worth of theoretical goods.

Mr. Epstein reminded me that most of these $10 trillion worth of bushels, baskets, and carloads were never delivered. Everything about this business seemed to be theoretical. "It's a wild market down there," he said. "Free enterprise at its best."

I left Mr. Epstein and headed down La Salle Street to visit the rival Chicago Board of Trade, housed in a famous art deco building. For decades the Board of Trade was the premier exchange, until the Mercantile Exchange caught it napping and ran ahead with the first currency futures and the first baskets of stocks. Soon the Board of Trade caught up with its Ginnie Mae futures contracts, and the T-Bond futures. Recently, it added a huge new annex, stuck onto the back of the original just for the trading of stock options and stock-index options.

From brochures I picked up at both exchanges, I learned the following about the history of futures. The first known futures transaction took place on Bahrain Island more than 2,000 years ago, when a merchant took goods on consignment for later sale in India. The basic premise of all futures—"Buy now, settle up later"—was accepted from earliest civilization. The Greeks and Romans traded futures. In medieval times, so-called forward contracting was common practice at country fairs.

The Japanese began to trade rice futures around 1730. The English followed with cotton futures in the late 1780s. In North America, the idea caught on after the Civil War. Although the Chicago Board of Trade, the oldest U.S. exchange, opened its doors in